Pay the Farm, Price the Litre: Fixing Germany’s Farm Diesel Refund by 2030

Executive Summary

In 2024, Germany's coalition government began phasing out the Agrardiesel refund, a rebate of 21.48 cents on each litre of diesel burned on farms. A constitutional court ruling had left a hole in the federal budget. Farmers blocked roads across the country, and the next government restored the full refund from January 2026.

The reform failed on its own terms. Before the reversal it raised an estimated €440 million, close to one year of the refund's cost. Its climate effect was too small and too brief to measure: the higher price lasted two years and reached farms as a smaller cheque a year later. It also left the refund's flaws in place. Larger farms collect two-thirds of the money, and over 40% of farms do not claim it.

This brief recommends that the federal government replace the per-litre refund by 2029 with a fixed payment of about €26 per hectare, capped per farm and paid through the existing EU farm-payment system. Farms keep the money. Each litre they burn then carries its full tax and carbon price, which today's refund more than cancels.

Policy Context

Since 1951, Germany has refunded part of the energy tax on farm and forestry diesel [1]. Farmers pay 47.04 cents of tax per litre at the pump and reclaim 21.48 cents from customs the following year. In 2023, 144,290 farms claimed €428 million, an average of €2,800 each [2].

In November 2023, a Federal Constitutional Court ruling on the budget forced the SPD, Green and FDP coalition to find billions in savings [1]. It first proposed ending the refund at once. After protests it chose a phase-out: a 40% cut for diesel used from March 2024, 70% in 2025, and no refund from 2026. The Bundestag passed the law on 2 February 2024 [1].

The finance ministry expected €453 million a year from 2028 [1]. Economists such as Berthold Wigger added a climate case: the refund rewards farms for burning fossil fuel [3].

Assessment of Effectiveness

The reform failed three of four tests.

Test	Result	Evidence
Fiscal	Weak	About €440 million raised on 2024 and 2025 diesel (author's estimate from 2023 claims [2])
Climate	Unmeasured	Two years of higher prices, felt a year late
Fairness	Unchanged	Larger farms still received two-thirds of the money [4]
Durability	Failed	Full refund restored for diesel used from 1 January 2026 [2]

Farm diesel releases around 5.4 million tonnes of CO2 each year, costing taxpayers about €81 for every tonne emitted. By 2026, Germany's carbon price is expected to add no more than 17.4 cents to a litre of diesel, while the reinstated refund will give back 21.48 cents. This means Berlin is now paying farmers more per litre than it charges them for carbon emissions.

The reduction in support hit the farms that benefit most from the refund the hardest. Alfons Balmann from IAMO found that full-time farms and farm companies, which make up 29% of all farms, receive two-thirds of the refund money. On average, a farm company could lose €27,000 annually. In response, farmers organised a national week of action. On 15 January 2024, police reported 8,500 protesters and 5,000 vehicles gathered at the Brandenburg Gate.

The coalition reduced the amount paid per litre without offering any compensation, resulting in a direct income loss for farmers. However, the refund only accounts for at most 3% of farm profits and labour costs. The government could cover this amount in a way that maintains the price signal.

Recommendation

Improvement: Replace the per-litre refund with a capped Farm Transition Payment by 2029.

The Federal Ministry of Finance should consider a change to section 57 of the Energy Tax Act, which would mean that farm diesel will be subject to the full energy tax starting from 1 January 2029. To balance this, the Federal Ministry of Agriculture plans to introduce a payment that matches the current budget for refunds, amounting to €430 million annually, or roughly €26 per hectare across the 16.6 million hectares of farmland.

Here's how it would work:

- **Delivery**: This payment would be made each December alongside EU direct payments through the existing Integrated Administration and Control System. Farms wouldn't need to apply separately, ensuring that the 43% of farms that currently claim nothing would also benefit.

- **Cap**: There would be a limit of €15,000 per farm per year, which helps keep each farm within the EU's agricultural de minimis ceiling of €50,000 over three years.

- **Timeline**: The law would be passed in 2027, with a transition period involving half refund and half payment in 2028, a full switch in 2029, and a review in 2030.

This approach allows the average farm to retain its savings, meaning every litre of diesel saved now is free from the full tax and carbon price. Germany adopted a similar strategy in 2005 when it decoupled EU direct payments from output.

To measure success, the focus will be on farm diesel use per hectare, as determined from the national emissions inventory. A 10% reduction by 2032 could prevent about 0.5 million tonnes of CO2 emissions annually.

However, there are some risks to consider. Horticulture currently receives about €94 of refund per hectare compared to the average of €28, and the largest farm companies might reach the cap. To address these concerns, a higher refund rate for horticulture and a two-year phase-in for the cap are being proposed.

Conclusion

Germany's 2024 reform cut farm income to make diesel dearer, and farmers forced a reversal within two years. A fixed payment per hectare separates the two goals. Farms keep their support, and the carbon price reaches the tractor. Berlin can legislate it in 2027 and complete it by 2029 at no extra cost to the budge

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Calculations: €440 million raised = 40% of 2023 claims for March to December 2024 plus 70% for 2025. €81 per tonne = €440 million ÷ 5.4 million tonnes. €26 per hectare = €430 million ÷ 16.6 million hectares